October 25, 2026 09:47 PM GMT

Sea Ltd | Asia Pacific

Sea Cloud and Monee: Capex concerns outweigh value unlock

WHAT'S CHANGED

	From	To
Sea Ltd (SE.N)		
Price Target	US$153.00	**US$128.00**

Sea Cloud raises uncertainty over Sea's capex and cash flow outlook, given limited visibility into its business model and investment scale. Concerns that Monee IPO proceeds could fund its expansion are overshadowing the potential value unlocking We share investor feedback and our thoughts.

Investor feedback: Concerns center on Sea Cloud's business model, investment scale, and the risk of another capex cycle. The timing is particularly challenging: investors have focused on Shopee's improving profitability and operating leverage following sustained investment potential new spending threatens earnings and FCF progress. The announcement also coincides with weakness in AI infrastructure and neocloud stocks amid concerns over debt-funded expansion, rising financing costs, GPU depreciation, customer concentration, and uncertain returns on capital.

The concurrent Monee IPO announcement has arguably compounded these concerns: On a standalone basis, a potential Monee listing could have been viewed neutrally to positively, providing greater valuation transparency, independent access to capital, and potential value crystallization. However, announcing it alongside Sea Cloud has raised questions about whether monetization of an established, profitable business could ultimately help fund a more capital-intensive and less proven cloud venture. Perceived capital reallocation risk appears to have weighed on sentiment.

Our view: Our OW rating on Sea is underpinned by operational momentum, improving profitability and operating leverage, and a relatively low capex profile across its existing businesses. Sea Cloud introduces a new variable requiring reassessment once details are shared — most likely on the November 10, 2026 earnings call, unless disclosed earlier. Management's framing of Sea Cloud as an "AI-first enterprise platform" — combined with the emphasis on ~500 engineers rebuilding the software stack rather than physical infrastructure — points, in our reading, toward platform and software layers over raw computing (read: Sea Cloud: What we know, strategic possibilities and key questions). The critical debate is whether Sea can monetize its existing technology stack with limited incremental capital, or whether meaningful external scale requires a separate and potentially substantial GPU investment cycle, which would hamper its FCF/earnings outlook.

What's changed: We have kept our earnings estimates unchanged but lower our price target 16%, to US$128/sh to reflect higher WACC.

MORGAN STANLEY ASIA (SINGAPORE) PTE.+
Divya Gangahar Kothiyal
Equity Analyst
Divya.Gangahar@morganstanley.com +65 6834-6438

MORGAN STANLEY ASIA LIMITED+
Gary Yu
Equity Analyst
Gary.Yu@morganstanley.com +852 2848-6918



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Sea Ltd (SE.N, SE UN)

ASEAN Internet | Singapore

Stock Rating	**Overweight**
Industry View	**In-Line**
Price target	US$128.00
Up/downside to price target (%)	72
Shr price, close (Oct 23, 2026)	US$74.63
52-Week Range	US$164.00-74.14
Sh out, dil, curr (mn)	638
Mkt cap, curr (mn)	US$47,631
EV, curr (mn)	US$36,085
Avg daily trading value (mn)	US$117

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (US$)**	2.65	2.90	4.21	5.47
Prior EPS (US$)**	-	-	-	-
Revenue, net (US$ mn)	22,938	32,525	40,980	48,553
EBITDA (US$ mn)	2,357	3,166	4,388	5,729
ModelWare net inc (US $ mn)	1,578	1,941	2,850	3,741
ROE (%)	18.8	15.5	19.0	20.3

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
e = Morgan Stanley Research estimates

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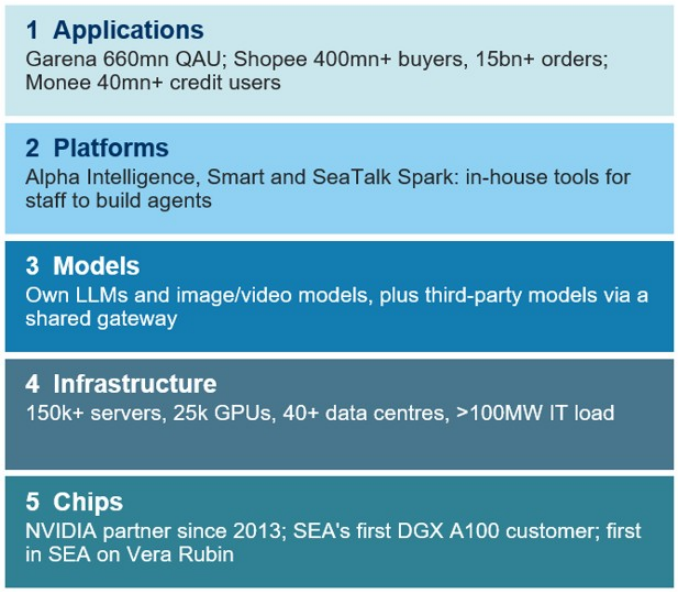
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Sea Cloud: What we know

Earlier this week, Sea Ltd announced (6-K memo) Sea Cloud, through which it intends to open its proprietary cloud capabilities to external enterprise customers. Sea has built and run its own cloud platform for more than 10 years to power Garena, Shopee, and Monee. About 500 engineers have spent the last two years rebuilding it for AI applications, which has made taking an AI idea from a whiteboard to production dramatically faster than it was two years ago. Sea intends to offer this capability to external customers, as Sea Cloud, an AI-first enterprise platform. The memo is silent on products, target customers, pricing, capital commitment, and launch date.

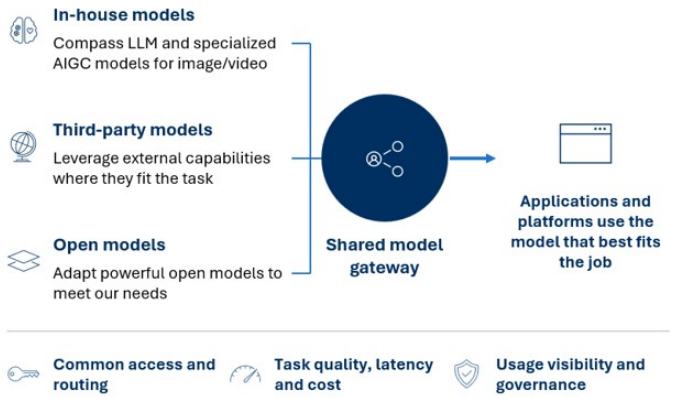
Existing infrastructure provides a potentially meaningful starting point, but commercial capacity remains unclear: Sea has over 150,000 servers, 25,000 GPUs and 100MW of critical IT load across more than 40 data centers globally. Sea already relies on colocation partners for physical facilities while managing its computing infrastructure internally, implying established capabilities for infrastructure procurement, deployment, and operations. However, the existing capacity supports Shopee, Garena, and Monee, and there is limited visibility on GPU generations, utilization, or spare capacity available for third-party commercialization.

Exhibit 1: Sea's five-layer AI stack



Source: Company data, Morgan Stanley Research

Exhibit 2: Sea's shared model gateway



Source: Company data, Morgan Stanley Research

Exhibit 3:
Sea's AI key developments timeline



Source: Company Data, Morgan Stanley Research

Sea Cloud: What it could be

Sea's entry into enterprise cloud could open up a new monetization opportunity for its existing technology infrastructure, although the eventual business model, incremental capital requirements, and earnings potential remain unclear. Management has described Sea Cloud as an "AI-first enterprise platform." We see several plausible business models spanning infrastructure, managed AI platforms, and enterprise applications, each carrying different competitive advantages and capital requirements.

Sea's edge could be the software built for its own businesses and sold to regional companies that want local language, data residency, and Southeast Asia-specific commerce and risk models. As such, a software-led platform — AI services, risk tools, and managed inference built on Sea's existing fleet and rented capacity — could make more sense.

Vertical enterprise AI applications/domain-specific SaaS: Sea could commercialize AI capabilities developed across its existing businesses as enterprise software. Potential offerings include:

- Retail and commerce AI (product recommendations, dynamic pricing tools, advertising optimization and AI-powered virtual selling),
- Fintech and risk AI (credit underwriting, alternative scoring and fraud detection), and
- Logistics AI (routing optimization and delivery prediction).

Monetization could combine subscription or usage-based fees with performance-linked pricing. We see potential for stronger software differentiation and attractive margins given Sea's domain expertise, proprietary algorithms, and merchant ecosystem. However, the transferability of internal models to external customers, access to proprietary data, regulatory constraints, and enterprise distribution remain unproven.

Regional Model-as-a-Service (MaaS) and AI orchestration: Sea could provide enterprises with a managed platform to develop, customize, deploy, and operate AI models, potentially the closest fit with management's emphasis on accelerating AI applications from development to production. This could include:

- Hosting and fine-tuning open-weight models such as Qwen or Llama,
- Optimizing inference for Southeast Asia's multilingual markets, and
- Offering model routing, deployment, and monitoring tools.

Customers could be charged through token-based consumption, platform subscriptions, or dedicated inference capacity commitments. Sea's existing AI platform and localized application experience provide a foundation, while the use of third-party computing could reduce upfront investment. Differentiation would depend on regional model performance, enterprise adoption and proprietary platform capabilities, with model licensing and data rights requiring appropriate safeguards.

Managed GPU cloud/neocloud infrastructure: Sea could commercialize its infrastructure operating capabilities by offering GPU instances, dedicated AI computing clusters, and managed hosting services to regional enterprises, developers, and AI-native companies. Its

existing GPU fleet, NVIDIA relationship, and experience managing infrastructure across colocation facilities provide relevant capabilities. Monetization could involve hourly GPU rental, longer-term reserved capacity contracts, or management fees for customer-owned hardware.

However, the 25,000 deployed GPUs span multiple generations and already support internal workloads; spare capacity cannot be assumed to be commercially available or suitable for dedicated enterprise contracts. Scaling this business could require significant incremental GPU investment, with returns sensitive to utilization, rental pricing, depreciation and funding costs. We believe investment paced against binding customer demand would reduce execution and funding risks.

Capital intensity and product mix will be central to assessing the opportunity: Of the three models, we see a GPU infrastructure-led strategy as posing the greatest risk to SE's FCF trajectory and existing investment thesis. While Sea's colocation model avoids direct data-center construction costs, meaningful external scale could still require substantial upfront GPU investments and longer-term capacity commitments, with cash outflows preceding revenue generation. Returns would depend heavily on contracted utilization, pricing and hardware depreciation, potentially offsetting the FCF improvement we expect from Sea's existing businesses. Conversely, application- or platform-led commercialization could generate revenue with lower incremental infrastructure capex, albeit with meaningful software development, distribution, and third-party computing expenses.

General-purpose cloud services: Such services could complement these three layers rather than constitute a separate strategic priority, we think. CPU computing, storage, networking, managed databases, and regional hosting capabilities may be necessary to support enterprise AI workloads, although we see limited differentiation in competing directly with established hyperscalers across commodity infrastructure services.

We believe Sea could pursue a phased or hybrid strategy rather than a pure-play neocloud model: One possibility is to commercialize its existing AI software capabilities through managed inference, model deployment and enterprise applications, while selectively adding GPU capacity against contracted demand.

Alternatively, Sea could provide infrastructure management for customer-owned hardware or aggregate third-party computing, reducing its direct exposure to GPU depreciation.

At the other end of the spectrum, an aggressive expansion into GPU rental would position Sea closer to neocloud providers, potentially creating a substantial new revenue opportunity but also introducing greater capital intensity, utilization risk, and competition with hyperscalers.

Key questions for management

Business model: What are Sea Cloud's core products, target customers, and monetization model? Is the focus infrastructure, AI platform/services, or enterprise applications?

Customer demand: Are there existing external customers or commitments, and when could Sea Cloud begin to generate meaningful revenue?

Capex: What incremental capex is required for Sea Cloud in 2027-28, beyond infrastructure investment already required for Sea's internal workloads?

Financial discipline: Could Sea Cloud materially change Sea's group capex and FCF profile, and what limits will management place on investment before customer demand and returns are proven?

Capacity strategy: Will Sea own incremental GPU capacity, rely on third-party/customer-funded computing, or pursue a hybrid model? Will capacity investment be paced against contracted demand?

Existing infrastructure: What is the generation and utilization of Sea's existing GPU fleet, and how much capacity is available for external workloads?

Economics: What gross margin, utilization, payback, and ROIC thresholds will govern further investment? When could Sea Cloud reach EBITDA break-even?

Competitive moat: What proprietary technology or domain expertise differentiates Sea Cloud from hyperscalers and specialist AI cloud providers?

Partners: What do the Google, OpenAI, and NVIDIA relationships contribute to Sea Cloud across models, compute, distribution or commercial partnerships?

Funding: How will Sea Cloud investment be funded? Are the potential Monee IPO and Sea Cloud independent capital-allocation decisions?

Timing: Why commercialize Sea's cloud capabilities now, and what has changed versus its previous efforts to offer cloud services externally?

Monee: Unlocking value, but how much?

Monee has more than doubled its loan book in six quarters while holding asset quality steady. Growth is broadening beyond Shopee checkout: with faster growth in off-Shopee portfolio in ASEAN while Brazil is an early growth market. See also our recent report: Sea's Samba: Will Brazil Be Sea's Largest Market? (9 Sep 2026). Monee added ~5.3mn first-time borrowers in 2Q26, active credit users rose ~34% y/y to over 40mn, and average loans per user rose ~20% y/y. Profitability, however, has grown at a slower pace in 2026 driven by geographic/product/customer mix changes and higher acquisition spending for new users and broader use cases.

While reported NPLs remain stable, Monee's fast expanding loan book has yet to fully season. We would monitor vintage-level credit performance, particularly as growth shifts toward off-Shopee lending and newer geographies, alongside the sustainability of provisioning and risk-adjusted returns.

SOTP as a cross-check, not a change in methodology. Our price target is still based on our DCF for SE. The sum-of-the-parts (SOTP) analysis we present below is a cross-check. It shows what each business is worth on peer P/E multiples and what the current share price implies for each. Sea doesn't disclose core segment net income so we need to make some assumptions related to allocation of D&A, SBC as well as tax rates.

Monee IPO as a way to unlock value? We value 2027e core PATMI for each segment at peer-based multiples: 15x for Digital Entertainment (gaming peers), 42x for E-commerce (implied 23.5x on 2028 with reference to MELI – Shopee adjusted EBITDA CAGR of 41% for 2025-28) and 20x for Monee (implied 16x on 2028 with reference to fintech peers). Adding US$6.1bn of net cash and investments gives an SOTP value of ~US$110/share, or ~47% upside to US$75. At US$75, the market values SE at ~15x 2027e core PATMI, against a blended peer-based ~23.5x. If Garena and Shopee are valued at their peer multiples, the current price leaves almost nothing for Monee. Even if we spread the market's discount evenly across the profitable segments, Monee comes out at only ~13.5x 2027e P/E — implying some scope for value to be unlocked.

Theoretical SOTP upside may not fully translate into realized value unlocking: While a simple SOTP framework suggests potential value to be unlocked from a Monee IPO, actual value crystallization will depend on several factors, including:

- The IPO structure (stake sold, primary vs secondary share sale, retained ownership, and use of proceeds),
- Prevailing market conditions and valuations of peers,
- Regulatory and capital requirements for a standalone Monee entity, and
- The sustainability of Monee's standalone economics.

Importantly, intercompany arrangements with Shopee — including customer acquisition, distribution, data sharing and transfer pricing — will be critical in determining how profits are allocated between the two entities. These factors could create a gap between theoretical SOTP value and the value ultimately recognized by the market.

Exhibit 4: Monee (DFS): Key Metrics

(US$ mn)	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	2023	2024	2025	2026e	2027e	2028e
Revenue	787	883	990	1,132	1,242	1,403	1,759	2,368	3,792	5,913	8,105	10,066
% y/y	58%	70%	61%	54%	58%	59%	44%	35%	60%	56%	37%	24%
Adj. EBITDA	241	255	258	263	275	288	550	712	1,018	1,226	1,621	1,995
Adj. EBITDA margin	30.7%	28.9%	26.1%	23.2%	22.2%	20.5%	31.3%	30.1%	26.9%	20.7%	20.0%	19.8%
Loan principal outstanding	5,800	6,900	7,900	9,200	9,900	11,100	3,111	5,100	9,200	13,300		
% y/y	77%	94%	70%	80%	71%	63%		64%	80%	45%		
Gross loan receivables	5,351	6,438	7,474	8,806	9,459	10,734	2,807	4,610	8,806	13,341	17,744	22,002
Net loan receivables	4,827	5,829	6,759	7,964	8,475	9,619	2,485	4,161	7,964			
Allowance	524	609	716	842	983	1,115	322	449	842			
as % of gross loan receivables	10%	9%	10%	10%	10%	10%	11%	10%	10%			
NPL	1.1%	1.0%	1.1%	1.1%	1.1%	1.0%	1.4%	1.2%	1.1%			
Provision for credit losses	282	324	374	393	466	555	634	777	1,373	2,314	3,248	4,153
as % of revenue	36%	37%	38%	35%	37%	40%	36%	33%	36%	39%	40%	41%
as % of gross loan receivables	21%	20%	20%	18%	20%	21%	23%	17%	16%	17%	18%	19%
Deposits payable	3,154	3,414	3,484	3,798	4,063	4,285	1,706	2,712	3,798			
% y/y	62%	59%	45%	40%	29%	26%	30%	59%	40%			

Source: Company data, Morgan Stanley Research.

Exhibit 5: SOTP Valuation Framework (Reference) Using Peer P/E Multiples

	NET INCOME SPLIT				VALUATION AT PEER MULTIPLES P/E					WHAT $75 IMPLIES
Segment	**Core PATMI 2027e**	**% of group**	**Core PATMI 2028e**	**% of group**	**Peer/Relative 2027e**	**Implied P/E 2028e**	**Relative P/E**	**Equity value**	**US$ / share**	**Pro-rata P/E 2027e**
Digital Entertainment	1,238	46%	1,359	38%	15x	13.7x	Gaming peers	18,569	$29	10.2x
E-commerce	675	25%	1,212	34%	42x	23.5x	MELI trades at 23.5x P/E on 2028 (Shopee EBITDA margin still ramping)	28,473	$45	28.7x
Monee	1,104	41%	1,379	38%	20x	16.0x	Fintech peers	22,080	$35	13.6x
Other services	(246)	-9%	(270)	-7%	18x	n.m.		(4,433)	($7)	18.0x
Corporate / unallocated	(60)	-2%	(65)	-2%	18x	n.m.		(1,086)	($2)	18.0x
Total / group	2,710	100.0%	3,615	100.0%	**23.5x**	**17.6x**		63,603	$100	**15.3x**
Plus: Net cash & investments (MSe)								6,114	$10	
Equity value / per share using SOTP								**69,717**	**$110**	

Source: Morgan Stanley Research estimates.

Exhibit 6: Fintech: Payments, Online Lenders and Digital Banks

	Market Cap	EV/revenue		EV/EBITDA			P/E			P/B	Revenue CAGR	PATMI CAGR	Net margin	ROE
	USD mn	2026e	2027e	2026e	2027e	2028e	2026e	2027e	2028e	2026e	2026-28e	2026-28e	2026e	2026e
Global Payment														
Mynt	6,957	3.5x	2.9x	14.3x	12.1x	10.7x	21.6x	18.0x	14.7x	4.9x	20%	22%	22%	23%
Paytm	11,533	8.7x	6.9x	68.7x	37.3x	26.4x	82.7x	45.0x	32.9x	6.3x	24%	58%	12%	8%
Kakaopay Corp	3,617	1.7x	1.5x	10.4x	9.3x	7.8x	36.2x	30.5x	25.2x	2.3x	13%	19%	11%	6%
PayPay Corp	10,263	3.8x	3.2x	12.1x	9.3x	7.6x	18.5x	13.8x	10.3x	3.3x	14%	35%	18%	18%
Average		**4.5x**	**3.6x**	**26.3x**	**17.0x**	**13.2x**	**39.8x**	**26.8x**	**20.8x**	**4.2x**	**18%**	**33%**	**16%**	**14%**
Median		**3.7x**	**3.1x**	**13.2x**	**10.7x**	**9.3x**	**28.9x**	**24.2x**	**20.0x**	**4.1x**	**17%**	**29%**	**15%**	**13%**
Global Online lenders/ BNPL and Digital banks														
Affirm	26,037	8.3x	5.9x	28.5x	19.3x	14.8x	13.3x	36.9x	25.4x	3.8x	25%	44%	13%	10%
Block Inc	50,143	1.8x	1.6x	10.1x	8.2x	6.8x	19.3x	14.9x	11.9x	2.0x	11%	27%	9%	10%
Klarna	4,970	1.0x	0.9x	16.2x	9.6x	6.2x	NA	24.8x	14.0x	2.0x	14%	NM	0%	0%
MELI	94,037	2.2x	1.7x	23.1x	16.7x	13.0x	48.4x	33.3x	24.4x	10.3x	26%	40%	5%	21%
Bajaj Finance	61,141	15.2x	12.5x	25.5x	20.9x	19.6x	22.3x	18.3x	14.8x	4.2x	22%	23%	40%	19%
PB Fintech	4,947	5.0x	4.7x	40.6x	32.1x	21.7x	42.6x	37.1x	27.7x	5.5x	11%	24%	12%	13%
Nubank	73,937	4.6x	3.8x	NA	NA	NA	17.3x	13.4x	10.4x	4.7x	24%	30%	18%	27%
SoFi	21,423	4.1x	3.3x	12.3x	9.6x	7.7x	25.2x	18.2x	14.5x	1.7x	23%	36%	17%	7%
KakaoBank	7,264	5.2x	4.5x	NA	NA	NA	15.9x	14.5x	13.1x	1.4x	12%	10%	38%	9%
Average		**5.3x**	**4.3x**	**22.3x**	**16.6x**	**12.8x**	**25.5x**	**23.5x**	**17.4x**	**3.9x**	**19%**	**29%**	**17%**	**13%**
Median		**4.6x**	**3.8x**	**23.1x**	**16.7x**	**13.0x**	**20.8x**	**18.3x**	**14.5x**	**3.8x**	**22%**	**29%**	**13%**	**10%**
Average		**5.0x**	**4.1x**	**23.8x**	**16.8x**	**12.9x**	**30.3x**	**24.5x**	**18.4x**	**4.0x**	**18%**	**31%**	**16%**	**13%**
Median		**4.1x**	**3.3x**	**16.2x**	**12.1x**	**10.7x**	**22.0x**	**18.3x**	**14.7x**	**3.8x**	**20%**	**29%**	**13%**	**10%**

Source: Factset, Morgan Stanley Research. Note: Data as of 21 October 2026.

Exhibit 7: Comparables – Gaming, E-Commerce

	Share Price	Mkt Cap	EV	EV / Revenue			EV / EBITDA			P/E			ROE	25 - 27E CAGR	
Company Name	(LCY)	USD mn	USD mn	C2026E	C2027E	C2028E	C2026E	C2027E	C2028E	C2026E	C2027E	C2028E	C2026E	Revenue	EBITDA
ASEAN INTERNET															
Sea Ltd	77	46,978	42,144	1.3x	1.1x	0.9x	10.9x	8.5x	6.8x	25.9x	18.5x	14.5x	14%	30%	20%
Grab Holdings Ltd	3	11,339	7,509	1.8x	1.5x	1.2x	10.2x	7.2x	5.2x	20.0x	16.5x	11.8x	8%	24%	45%
GoTo Gojek Tokopedia Tbk PT	25	1,647	594	0.5x	0.4x	0.4x	4.6x	3.0x	2.3x	NM	19.3x	9.8x	3%	10%	199%
Mean				**1.2x**	**1.0x**	**0.9x**	**8.6x**	**6.2x**	**4.8x**	**22.9x**	**18.1x**	**12.0x**	**8%**	**21%**	**88%**
Median				**1.3x**	**1.1x**	**0.9x**	**10.2x**	**7.2x**	**5.2x**	**22.9x**	**18.5x**	**11.8x**	**8%**	**24%**	**45%**
GAMING															
Tencent Holdings Ltd	382	443,572	457,795	3.7x	3.4x	3.1x	9.1x	8.3x	7.4x	15.3x	14.5x	12.9x	19%	14%	13%
NetEase Inc	117	75,271	51,945	2.9x	2.7x	2.5x	7.4x	6.8x	6.3x	13.5x	11.4x	10.6x	22%	11%	20%
Kingsoft Corp Ltd	24	4,254	1,500	1.0x	0.9x	0.8x	4.7x	3.6x	3.1x	18.1x	23.3x	18.8x	7%	14%	21%
Perfect World Co Ltd/China	9	2,753	2,204	1.8x	1.6x	1.5x	8.7x	6.2x	5.7x	12.6x	9.6x	8.8x	18%	20%	44%
37 Interactive Entertainment Network Tec	16	5,290	4,890	2.0x	1.8x	1.7x	9.5x	8.5x	7.8x	11.8x	10.8x	10.1x	21%	9%	7%
Netmarble Corp	34,450	2,160	1,941	0.9x	0.9x	0.9x	5.7x	5.2x	5.3x	5.9x	10.1x	9.5x	9%	6%	4%
NC Corp	211,500	3,436	2,486	1.2x	1.1x	1.0x	5.3x	5.1x	4.6x	9.4x	9.2x	8.1x	13%	49%	NM
Krafton Inc	191,800	6,641	5,429	1.5x	1.4x	1.3x	4.5x	4.3x	4.0x	10.0x	7.8x	7.0x	11%	27%	22%
Nintendo Co Ltd	8,699	71,220	57,325	4.1x	3.6x	3.7x	22.3x	16.9x	15.8x	23.5x	21.7x	19.1x	14%	6%	NA
Nexon Co Ltd	2,814	13,983	8,910	2.8x	2.7x	2.6x	10.0x	9.3x	8.8x	19.7x	19.7x	17.9x	11%	2%	NA
Square Enix Holdings Co Ltd	3,027	7,077	5,363	2.7x	2.4x	2.4x	18.3x	12.7x	13.1x	28.4x	23.9x	22.6x	9%	7%	NA
Konami Group Corp	25,175	22,977	21,278	6.0x	5.8x	5.7x	19.0x	17.0x	16.2x	26.7x	24.6x	23.9x	18%	9%	NA
Take-Two Interactive Software Inc	207	38,701	39,819	5.0x	4.4x	4.8x	25.4x	17.3x	17.5x	NM	48.9x	28.1x	26%	17%	38%
CD Projekt SA	267	6,832	6,604	28.6x	15.9x	6.6x	46.4x	26.8x	9.6x	55.2x	32.8x	13.1x	13%	34%	31%
Mean				**4.6x**	**3.5x**	**2.7x**	**14.0x**	**10.6x**	**8.9x**	**19.2x**	**19.2x**	**15.0x**	**15%**	**16%**	**22%**
Median				**2.7x**	**2.5x**	**2.4x**	**9.3x**	**8.4x**	**7.6x**	**15.3x**	**17.1x**	**13.0x**	**14%**	**13%**	**21%**
E-COMMERCE															
Amazon.com Inc	258	2,781,564	2,900,571	3.5x	3.0x	2.6x	13.1x	10.2x	8.0x	20.1x	23.9x	17.9x	25%	15%	31%
Alibaba Group Holding Ltd	102	252,506	192,597	1.2x	1.0x	0.9x	8.8x	5.8x	4.3x	22.1x	14.8x	10.6x	8%	15%	31%
JD.com Inc	25	34,815	21,335	0.1x	0.1x	0.1x	4.6x	3.2x	2.6x	15.5x	14.3x	13.4x	12%	8%	61%
PDD Holdings Inc	78	110,601	46,801	0.7x	0.6x	0.5x	2.9x	2.5x	2.3x	8.3x	7.8x	7.2x	21%	14%	18%
MercadoLibre Inc	1,850	93,786	101,232	2.4x	1.9x	1.5x	24.7x	17.7x	13.3x	48.0x	33.1x	23.6x	25%	37%	19%
Coupang Inc	14	24,754	24,277	0.7x	0.6x	0.5x	94.8x	13.2x	8.9x	NM	44.8x	21.4x	NM	11%	11%
Shopify Inc	176	222,708	217,939	14.3x	11.4x	9.1x	76.9x	58.4x	42.2x	105.3x	82.6x	57.7x	16%	29%	36%
eBay Inc	122	54,375	58,198	4.6x	4.3x	4.1x	15.3x	14.4x	13.1x	27.4x	23.9x	20.8x	57%	10%	8%
ZOZO Inc	1,229	6,970	6,864	4.6x	4.4x	4.2x	12.9x	12.6x	12.5x	21.4x	21.2x	20.7x	47%	3%	6%
Etsy Inc	88	8,092	10,046	3.5x	3.4x	3.2x	11.9x	11.2x	10.5x	24.0x	19.4x	16.9x	NM	2%	11%
momo.com Inc	250	2,035	1,945	0.6x	0.6x	0.5x	13.2x	12.7x	11.9x	23.6x	23.4x	26.5x	28%	0%	0%
Allegro.eu SA	59	15,425	16,090	4.6x	4.1x	3.6x	15.7x	13.4x	11.9x	30.6x	24.0x	20.0x	20%	13%	14%
FSN E-Commerce Ventures Ltd	322	9,731	9,835	7.8x	6.0x	4.9x	92.9x	59.7x	44.0x	NM	NM	NM	14%	23%	54%
Mean				**3.7x**	**3.2x**	**2.8x**	**29.8x**	**18.1x**	**14.2x**	**31.5x**	**27.8x**	**21.4x**	**25%**	**14%**	**23%**
Median				**3.5x**	**3.0x**	**2.6x**	**13.2x**	**12.7x**	**11.9x**	**23.6x**	**23.6x**	**20.3x**	**21%**	**13%**	**18%**

Source: Bloomberg, Morgan Stanley Research. Note: Data as of 21 October 2026.

Risk Reward – Sea Ltd (SE.N)

Reinvesting to strengthen moats and drive long-term growth

PRICE TARGET US$128.00

Probability-weighted DCF

- Base case: US$130 (80%) - WACC 12.6%, EBITDA CAGR 23% (2025-28), terminal growth rate 4%.
- Bear case: US$65 (10%, reflects risks to profitability from EC investments) - WACC 13.6%.
- Bull case: US$175 (10%, reflects faster ramp-up of EC profitability and stronger DFS growth) - WACC 12.1%.

Consensus Price Target Distribution

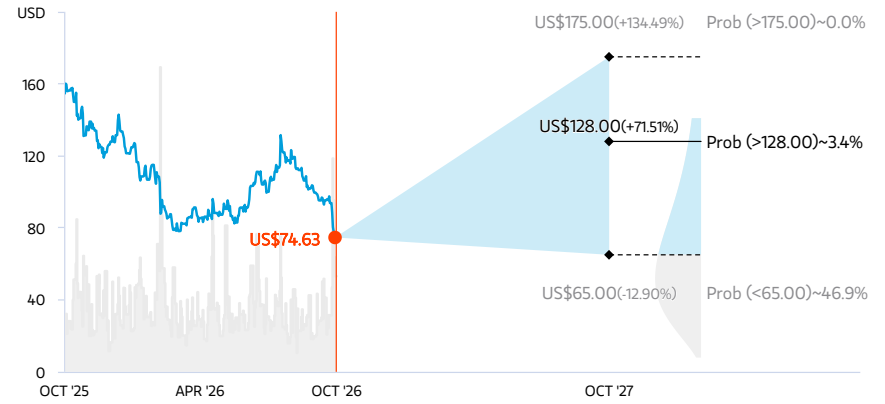
US$101.00 — US$152.43 — US$195.00

MS PT

Source: Refinitiv, Morgan Stanley Research

◆ Mean ◆ Morgan Stanley Estimates

RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



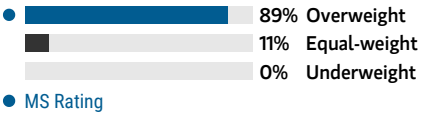
Key: Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 23 Oct 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology here

OVERWEIGHT THESIS

- Across its existing businesses, we view Sea's growth investments as strengthening underlying earnings power, though Sea Cloud introduces uncertainty around the group's future capital intensity.
- EC monetization outperformance and management's reaffirmation of a clear path to its long-term margin ambition of 2-3% EC margin supports underwriting gradual EC margin expansion from 2027.
- We expect Shopee to maintain leadership in ASEAN and gain share in Brazil. We expect healthy EC GMV growth, expanding ad penetration, improving logistics economics, scaling complementary credit operations, and operating leverage support strong EBITDA growth.
- We expect EBITDA growth for Monee to accelerate in 2027.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Secular Growth: *Positive*
Technology Diffusion: *Positive*

View descriptions of Risk Rewards Themes here

BULL CASE US$175.00

19x adjusted EV/EBITDA 2027e

Faster profitability ramp-up in EC, revenue growth >20% for longer: We assume 2025-28 revenue CAGR of 30% and adjusted EBITDA CAGR during the same time period is expected to be 29%. EC EBITDA margin of 1% by 2027.

BASE CASE US$130.00

15x adjusted EV/EBITDA 2027e

Stable gaming, steady growth in DFS and EC, and gradual rise in e-commerce profitability: We assume 2025-28 revenue CAGR of 27%, mainly driven by growth in EC and DFS. Adjusted EBITDA CAGR during the same time period is expected to be 23%, with EC contributing the bulk of the incremental EBITDA. EC EBITDA margin to reach 0.85% by 2027.

BEAR CASE US$65.00

8.2x bear adjusted EV/EBITDA 2027e

Disruptive competition in e-commerce, declining EBITDA in DE, and lower growth from DFS: We assume 2025-28 revenue CAGR of 22% and adjusted EBITDA CAGR during the same time period is expected to be 10%. EC Adjusted EBITDA margin at 0.7% by 2027.

Risk Reward – Sea Ltd (SE.N)

KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Digital Entertainment Revenue Growth (%)	26.1	24.2	14.6	8.1
E-commerce Revenue Growth (%)	33.4	41.4	24.7	18.1
Digital Entertainment Paying Ratio (%)	9.5	10.2	10.4	10.4
GMV (US$, mn)	127,300	161,024	192,859	224,136
S&M as % of GMV (%)	3	3	3	3

INVESTMENT DRIVERS

- GMV growth for EC
- Margin expansion in EC
- Successful new game launches
- Execution and ramp-up of Fintech and Digital Banking

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies here

MS ALPHA MODELS

4/5 MOST — 3 Month Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- GMV growth remaining >25% for longer
- Faster than expected EC margin ramp up in 2H26
- Market share gains in EC across geographies
- New game launches boosting Garena's EBITDA
- Higher growth from Monee

RISKS TO DOWNSIDE

- Slowdown in GMV growth for EC
- Disruptive competition in EC derailing profitability/market share
- Slowing growth in fintech; rising NPLs
- Reduction in MAUs for *Free Fire*
- Unfavourable regulations

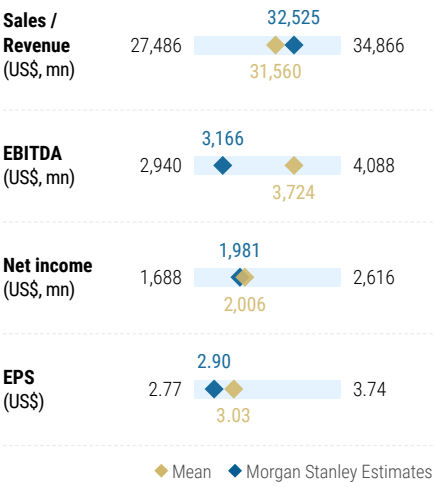
OWNERSHIP POSITIONING

Inst. Owners, % Active	82.9%
HF Sector Long/Short Ratio	1.8x
HF Sector Net Exposure	11.3%

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure – Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



Source: Refinitiv, Morgan Stanley Research

Financial summary

Exhibit 12: Sea Limited: Financial Summary

(US$ mn)	2024	2025	2026e	2027e	2028e
Income Statement					
Cash Revenue					
Digital entertainment	2,149	2,950	3,322	3,663	3,803
E-commerce	12,415	16,571	23,429	29,218	34,517
Digital financial services	2,368	3,792	5,913	8,105	10,066
All others	123	167	192	230	265
Revenue, cash	**17,055**	**23,479**	**32,856**	**41,216**	**48,650**
y/y	*34%*	*38%*	*40%*	*25%*	*18%*
Cash Adjusted EBITDA					
Digital entertainment	1,199	1,656	1,893	2,093	2,160
E-commerce	156	881	1,071	1,640	2,459
Digital financial services	712	1,018	1,226	1,621	1,995
All others	(30)	(81)	(175)	(193)	(212)
Unallocated expenses	(75)	(37)	(41)	(45)	(49)
Cash Adj. EBITDA	**1,962**	**3,437**	**3,975**	**5,118**	**6,352**
Margin	*11.5%*	*14.6%*	*12.1%*	*12.4%*	*13.1%*
Growth	*66.4%*	*75.2%*	*15.6%*	*28.8%*	*24.1%*
Cash Adj. EBIT	1,572	3,065	3,522	4,578	5,738
Margin	9.2%	*13.1%*	*10.7%*	*11.1%*	*11.8%*
Revenues, GAAP	16,820	22,938	32,525	40,980	48,553
Gross Profit	7,205	10,244	14,685	18,730	22,428
GPM, GAAP	42.8%	44.7%	45.2%	45.7%	46.2%
Operating income (expenses)					
Other operating income	180	121	121	121	121
Sales and marketing expenses	(3,473)	(4,492)	(6,828)	(8,335)	(9,515)
General and administrative expenses	(1,268)	(1,358)	(1,713)	(2,095)	(2,362)
Provision of credit losses	(777)	(1,373)	(2,314)	(3,248)	(4,153)
Research and development expenses	(1,206)	(1,157)	(1,238)	(1,325)	(1,404)
Impairment of goodwill	-	-	-	-	-
Total operating expenses	(6,543)	(8,259)	(11,973)	(14,882)	(17,314)
EBIT	**662**	**1,985**	**2,713**	**3,848**	**5,114**
Share Based Comp	716	625	531	531	542
Interest income	366	331	280	286	291
Interest expense	(38)	(34)	(4)	(4)	(4)
Investment gain (loss)	(250)	(43)	33	-	-
PBT	779	2,281	2,982	4,129	5,401
Income tax expense	(321)	(651)	(996)	(1,239)	(1,620)
PATMI	**444**	**1,578**	**1,941**	**2,850**	**3,741**
Basic EPS	0.77	2.65	2.90	4.21	5.47
Diluted EPS	0.73	2.47	2.90	4.21	5.47

Balance Sheet					
Current assets					
Cash and cash equivalents	2,405	4,159	2,528	1,644	1,636
Restricted cash	1,655	2,217	2,602	3,278	3,884
Accounts receivable, net	307	378	536	675	800
Prepaid expenses and other assets	1,661	1,979	2,628	3,086	3,391
Property and equipment, net	1,098	1,307	1,615	2,024	2,485
All other assets	10,392	10,500	11,788	12,158	12,489
Total assets	**22,625**	**29,371**	**35,048**	**40,200**	**45,871**
Accounts payable	350	468	711	925	1,123
Accrued expenses and other payables	2,380	3,157	3,592	3,900	4,138
All other liabilities	8,706	9,300	10,709	11,017	11,232
Total liabilities	**14,148**	**16,723**	**19,873**	**21,604**	**22,952**
Additional paid-in capital	16,703	19,105	19,637	20,168	20,710
Accumulated deficit	(8,155)	(6,577)	(4,636)	(1,786)	1,955
Non-controlling interests	105	122	162	202	242
All other equity	(176)	13	13	13	13
Total shareholders' equity	**8,478**	**12,648**	**15,175**	**18,597**	**22,919**
Total liabilites and equity	**22,625**	**29,371**	**35,048**	**40,200**	**45,871**

	2024	2025	2026e	2027e	2028e
Cash Flow Statement					
Cash flows from operating activities	3,277	5,024	5,415	7,150	9,053
Cash flows from investing activities	(5,041)	(4,409)	(8,121)	(8,248)	(9,142)
Cash flows from financing activities	1,684	1,623	1,460	891	687
Net change in cash balance	**(162)**	**2,338**	**(1,246)**	**(207)**	**598**

Key Metrics					
Digital entertainment					
QPU (mn)	50.5	62.6	67.8	71.2	73.1
QAU (mn)	622.3	657.7	664.3	684.2	703.3
Paying ratio	*8.1%*	*9.5%*	*10.2%*	*10.4%*	*10.4%*
ARPPU (US$)	10.6	11.8	12.3	12.9	13.0
E-commerce					
GMV (US$m)	100,600	127,300	161,024	192,859	224,136
y/y	28%	27%	26%	20%	16%
3P Take Rate (total)	*10.8%*	*11.4%*	*12.9%*	*13.5%*	*13.7%*
Core marketpalce take rate	7.8%	9.1%	11.1%	11.8%	12.0%
GPM	30.6%	31.3%	30.9%	30.9%	31.2%
S&M expenses as % of GMV	2.9%	2.8%	3.2%	3.2%	3.1%
Digital financial services					
Gross loan (US$mn)	4,610	8,806	13,341	17,744	22,002
y/y	64%	91%	52%	33%	24%
Loan yield	63.8%	56.5%	53.4%	52.2%	50.7%
Provisions as % of average loans o/s	21.0%	20.5%	20.9%	20.9%	20.9%
S&M as % of revenues	12.6%	16.2%	20.5%	20.4%	19.9%
Adj. EBITDA Margin					
Digital entertainment	55.8%	56.1%	57.0%	57.2%	56.8%
E-commerce	1.3%	5.3%	4.6%	5.6%	7.1%
EC as % of GMV	0.2%	0.7%	0.7%	0.9%	1.1%
Digital financial services	30.1%	26.9%	20.7%	20.0%	19.8%
Total Adj. EBITDA margin	11.5%	14.6%	12.1%	12.4%	13.1%
Segment Contribution					
Revenues					
Digital entertainment	13%	13%	10%	9%	8%
E-commerce	73%	71%	71%	71%	71%
Digital financial services	14%	16%	18%	20%	21%
Adj. EBITDA					
Digital entertainment	61%	48%	48%	41%	34%
E-commerce	8%	26%	27%	32%	39%
Digital financial services	36%	30%	31%	32%	31%
Growth					
Revenues					
Digital entertainment	*19%*	*37%*	*13%*	*10%*	*4%*
E-commerce	*38%*	*33%*	*41%*	*25%*	*18%*
Digital financial services	*35%*	*60%*	*56%*	*37%*	*24%*
Adj. EBITDA					
Digital entertainment	*30%*	*38%*	*14%*	*11%*	*3%*
E-commerce	*NM*	*465%*	*22%*	*53%*	*50%*
Digital financial services	*29%*	*43%*	*20%*	*32%*	*23%*
Consolidated					
Revenues	29%	36%	42%	26%	18%
Adj.EBITDA	66%	75%	16%	29%	24%
PATMI	195%	255%	23%	47%	31%

Source: Company data, Morgan Stanley Research estimates

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - Options_Probabilities_Exhibit_Link.pdf

2. View descriptions of Risk Rewards Themes - RR_Themes_Exhibit_Link.pdf

3. View explanation of regional hierarchies - GEG_Exhibit_Link.pdf

4. View explanation of Theme/Exposure methodology - ESG_Sustainable_Solutions_External_Link.pdf

5. View explanation of HERS methodology - ESG_HERS_External_Link.pdf

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(as of September 30, 2026)

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	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1599	43%	455	48%	28%	783	44%
Equal-weight/Hold	1563	42%	394	42%	25%	763	43%
Not-Rated/Hold	2	0%	1	0%	50%	1	0%
Underweight/Sell	570	15%	96	10%	17%	227	13%
Total	3,734		946			1774	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

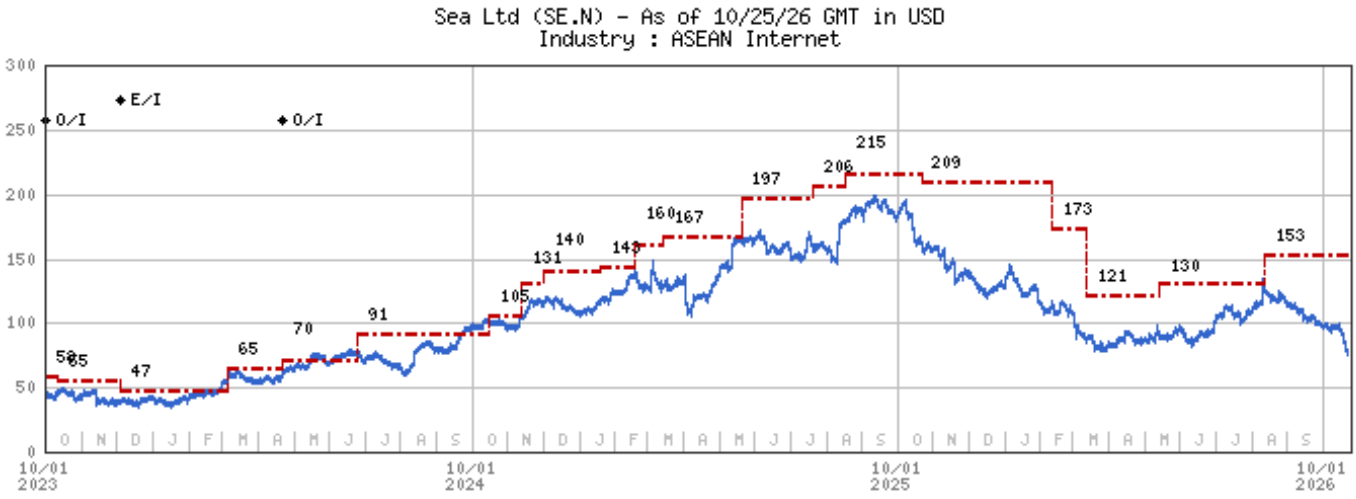
Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Stock Price, Price Target and Rating History (See Rating Definitions)



Stock Rating History: 10/1/21 : O/NR; 7/21/23 : O/NR; 8/15/23 : O/I; 12/4/23 : E/I; 4/22/24 : O/I

Price Target History: 9/29/21 : 388; 1/28/22 : 225; 3/2/22 : 220; 4/19/22 : 200; 6/9/22 : 128; 8/17/22 : 123; 10/24/22 : 116; 11/17/22 : 95; 5/17/23 : 105; 8/1/23 : 90; 9/26/23 : 58; 10/11/23 : 55; 12/4/23 : 47; 3/6/24 : 65; 4/22/24 : 70; 6/25/24 : 91; 10/16/24 : 105; 11/13/24 : 131; 12/2/24 : 140; 1/20/25 : 143; 2/18/25 : 160; 3/14/25 : 167; 5/20/25 : 197; 7/21/25 : 206; 8/18/25 : 215; 10/22/25 : 209; 2/11/26 : 173; 3/13/26 : 121; 5/14/26 : 130; 8/13/26 : 153

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -·- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) Stock Price (Covered by Current Analyst)
Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

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INDUSTRY COVERAGE: ASEAN Internet

COMPANY (TICKER)	RATING (AS OF)	PRICE* (10/23/2026)
Divya Gangahar Kothiyal		
GoTo Gojek Tokopedia PT (GOTO.JK)	E (01/16/2023)	Rp25
Grab Holdings Ltd (GRAB.O)	++	US$2.79
Sea Ltd (SE.N)	O (04/22/2024)	US$74.63

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